

FOREWORD

DeFi is a cute acronym for “decentralized finance,” but it obfuscates its true potential: a new financial system built from the ground up. While DeFi is small today—containing, as of this writing, tens of billions of dollars in assets relative to the hundreds of trillions in the traditional financial system—it is growing rapidly. And while its rise will take decades, I believe DeFi will be the primary financial system of the world.

Why? DeFi is a true “internet of money.” The internet showed the power of a universal, open network for information. In 40 years the idea of a similarly open, global network for value transfer will seem obvious, which makes this a truth hiding in plain sight today.

As with any new technology, crypto and the new decentralized financial system built atop it will be different from its old-world analogue. DeFi is unique relative to the traditional financial system because it is permissionless, open access, global, composable, and transparent. No longer are